

Halden Coatings

In February 2026, Devan Osei had two days and one number to produce.

Osei was a second-year associate at Marrow Ridge Capital, a middle-market private equity firm, and Halden Coatings had come across the desk as a possible carve-out target. Halden made industrial coatings for pipeline, marine, and bridge applications — an unglamorous business with real switching costs and a customer list that had barely changed in twenty years. The partner running the deal wanted one thing before Friday: Halden's free cash flow to the firm for fiscal 2025, and a view on whether that figure was a fair picture of what the business threw off in a normal year.

"Both ways," the partner had said on the way out of the room. "From the income statement and from the cash flow statement. If they don't tie, I want to know why, line by line. I don't want the average of two numbers you don't understand."

Osei had the two most recent 10-Ks open. The 2025 year had three complications that the 2024 year had not. In April, Halden had written off \$45 million of goodwill attached to a 2019 acquisition of a powder-coating business that had never made its case. In August, it had bought Verrand Adhesives for \$140 million in cash, adding roughly \$210 million of annualized revenue in the last four months of the year. And somewhere in the tax footnote, a valuation allowance had been released, which had pushed the effective tax rate down to under 16 percent against a statutory rate of 24 percent.

There was a fourth item Osei kept circling. Stock compensation ran \$34 million, about 1.8 percent of revenue, and it sat in the cash flow statement as an add-back to operating cash flow. Halden's own investor presentations reported "adjusted free cash flow" with the stock compensation added back and described it as a non-cash item. Marrow Ridge's model template treated it as a cash cost.

Osei's first pass produced \$154.9 million from the cash flow statement and \$104.7 million from the income statement. The gap was \$50 million, or 48 percent of the smaller figure, and Osei did not yet know where it came from.

EXHIBIT 1 — HALDEN COATINGS, SELECTED FINANCIALS (\$ MILLIONS)

Income statement, fiscal 2025

Revenue	1,840
Cost of goods sold	1,204
Selling, general and administrative	322
Depreciation and amortization	96
Goodwill impairment	45
Operating income (EBIT)	173
Interest expense	38
Income before taxes	135
Provision for income taxes	21
Net income	114

Cash flow statement, fiscal 2025

Net income	114
Depreciation and amortization	118
Goodwill impairment	45
Stock-based compensation	34
Deferred income taxes	(19)
Changes in operating assets and liabilities	(62)
Cash provided by operating activities	230
Capital expenditures	(104)
Acquisition of Verrand Adhesives, net of cash acquired	(140)
Proceeds from asset sales	6
Cash used in investing activities	(238)

Balance sheet, December 31

	2024	2025
Cash and equivalents	210	96
Accounts receivable	268	312
Inventory	194	238
Other current assets	41	47
Accounts payable	176	189
Accrued liabilities	88	94
Short-term debt	60	120

Note from the acquisition footnote: the Verrand opening balance sheet contributed \$13 million of net working capital on the acquisition date.

Statutory tax rate: 24 percent.

ASSIGNMENT

- 1 Compute Halden's 2025 free cash flow to the firm starting from EBIT, and again starting from cash provided by operating activities. State every judgment call you made.
- 2 Reconcile the two figures item by item. Your reconciliation should close to the dollar.
- 3 Four items in this filing admit more than one defensible treatment: the goodwill impairment, stock compensation, the Verrand acquisition, and the tax rate. For each, take a position and say what it costs you to be wrong.
- 4 What is the widest range of free cash flow a reasonable analyst could report for Halden in 2025 without doing anything indefensible? Is a range that wide useful to the partner?
- 5 The partner asked whether 2025 free cash flow is a fair picture of a normal year. Answer that question.